

Corporate Governance and Family Business

Introduction

Firms have to be managed, and for that we have managers. But firms also have to be governed and for that you have directors. In order for firms to fulfill their role in society they need good governance and good management. It is a motorcycle with two wheels. You can drive with only one of them, but not for a long time. Most of the effort during the MBA has been devoted to good management practices, and to give you a sense of what it is good management. The course is to help you reflect on good governance.

In your evolution as managers, there are different phases. The younger you are the more you are wanted for your knowledge, the ability to make sound business analysis and recommendations and your energy. As you progress in an organization the skills you develop to manage people become more and more important. As you keep on growing, you rely more and more on others to make the decisions and the analysis and the skills that become really important are those of building organizations to make them responsible, effective and efficient. When you move to governance position, you become a member of the group of people that are responsible for the actions of the firm in front of society as a whole. That's what we want you to reflect on: governance. The last stage of your career.

A lot of press coverage deals with governance in public corporations, but we have to acknowledge that most corporations in the world are private corporations. In the US there are about 4000 public companies and 7 Million private companies, out of which close to 2M have more than 50 employees. In Europe the numbers are similar in proportion. Good governance is even more important in private than in public companies.

Within the private companies, about 60% are family businesses/enterprises. Governance of Family business adds one degree of complexity as you need to govern both the Family and the Business. The course will deal with both aspects, governance of public and private business and within them, Governance of Family Business.

Course Objectives & Outcomes

Trying to consider all aspects of corporate governance in 18 sessions is impossible. We are going to focus on some smaller objectives. When you finish the course you should have basic

concepts on:

The responsibility of the board of directors.

The organization of the board of directors

The management of the Board of directors

The governance of a family business

Family constitutions.

Family council.

Informal Aspects of Governance

Role of Outside Investors

Family Office

Methodology

We will meet for nine double sessions. A typical session will include a case discussion, short presentation, and discussion with guest(s). The course relies on thorough preparation and active participation: students who invest fully will not only deepen their own learning but also enrich the discussion for the entire class.

Evaluation

The course grade will be determined as of IESE policies. It will be calculated as follows:

Description	Percentage
Individual reports (SE1)	50%
Performance in class (SE2)	50%

The evaluation will be based on two items: Presentation of writing work: 50%..You have to upload one/two pages one week before the last session of the course on your main conclusions in governance.

Class participation: 50% Failure to attend class will punish your final grade.

Course Outline

Session 1

Governance of Public companies

Case	What's an effective Board (9B14M167)
Technical Note	Board of Directors : An Introductory Note (9-114-096)
Technical Note	Boards of Directors and Corporate Governance (DGN-639-E)

Session 2

Governance of Public companies. Guest Speaker

Guest Speaker	Mr. Jordi Piñot, President & CEO, MACSA
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Session 3

Governance of Public companies

Preparation Questions	Chorus and Telecom - Preparation Questions
Case	Chorus and Telecom: Building the Boards (A) (9-413-03)

Session 4

Governance of Public companies. Guest Speaker

Guest Speaker	Mr. Ignacio Martin Sanvicente, Non executive Director Repsol,Acerinox
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Session 5

Governance and Public Companies

Preparation Questions	Governance Failure at Satyam - Preparation Questions
Case	Governance Failure at Satyam (W11095)
Article	A guide to Big Ideas and debates in Corporate Governance (H052AD)

Session 6

Governance and Public Companies. Guest Speaker

Guest Speaker	Isabela Perez, Director of Legal Counsel Inditex
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Session 7	Family Governance
Preparation Questions	Carvajal S.A. - Preparation Questions
Case	Carvajal S.A. Building on a Century of Business Growth and Family Values (KEL872)
Technical Note	Functions and responsibilities of the Board of Directors in the Family Enterprise (SMN693-E)
Technical Note	Protocol: Regulation or Framework Agreement (SMN684-E)
Session 8	Family Governance. Guest Speaker
Guest Speaker	Mr. Carlos Gallardo, Chairman and CEO at Almirall.
Session 9	Family Council
Preparation Questions	Scott Family - Preparation Question
	Scott Family Enterprises: Building the Path to effective Governance (KE1077)
Technical Note	Family Council Organization and Function (SMN 660 E)
Technical Note	Family Council (MN -419-E)
Session 10	Family Council. Guest Speaker
Guest Speaker	Mr. Joaquin Molins Gil, Vice-President, Cementos Molins
Session 11	Family offices. One Tiger Per Mountain ? The He Family Office
Preparation Questions	One Tiger per Mountain - Preparation Questions
Case	One Tiger Per Mountain? The He Family Office (9-223-001)
Technical Note	The family Office (SMN-669-E)
Session 12	Family offices. One Tiger Per Mountain ? The He Family Office. Guest Speaker
Guest Speaker	Mr. Ignasi Botet
Session 13	Conflict and communication. Falkenberg Packaging
Preparation Questions	Falkenberg Packaging - Preparation Questions
Case	Falkenberg Packaging.
Videos	Family Enterprise Foundation - Achieving Generational Purpose
Article	Avoiding Conflict will only hurt you
Session 14	Conflict and communication. Falkenberg Packaging. Guest Speaker
Guest Speaker	Mr. Carlos Arbezu

Session 15	Private Equity.
Preparation Questions	Fedrus - Preparation Questions
Case	Fedrus
Technical Note	Private Equity (FN-301-E)
Reading	Neckebrouck & Manigart - Family firms and Private Equity
Blog Article	Finding the best external equity investor: one size doesn't fit it all
Blog Article	The potential of growth equity for family businesses
Session 16	Private Equity. Guest Speaker.
Guest Speaker	Mr. Iván Plaza, Partner at Aurica Capital.
Session 17	Closing. Putting all together
Session 18	Closing. Putting all together. Guest Speakers
Guest Speaker	Mr. Raúl Lozano, Executive President, REDUR
Guest Speaker	Mr. Carles Guixà, Member of the Supervisory Board, La Farga

Content

The course will consist of 18 back to back double sessions where the students will have the opportunity to talk and discuss about different cases.

Following the mentioned objectives, the course will focus on the following topics:

- Boards of directors: roles, responsibilities, and effectiveness
- Distinctive challenges and advantages of family ownership
- Informal governance: values, trust, and purpose
- Family governance: constitutions, family council
- Balancing economic and non-economic goals
- Family offices and family wealth management
- Governance of publicly traded items

Additional Notes

This course is especially relevant for students from business-owning families preparing for leadership and/or ownership

- students pursuing careers in consulting, private equity, investment, or general management, where engaging with family enterprises is common
- students aiming to acquire or establish a business and build it for long-term value
- students who will serve as future board members and carry governance responsibilities

Professor's Biography

Carlos García Pont



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Carlos García Pont is professor in the Marketing Department and director of the MBA Program. His work places special emphasis on the importance of alliances in understanding competitive strategy, the organizational needs of market-oriented organizations in industrial markets and subsidiary strategy in global corporations. He has also done work in the areas of strategic management and marketing strategy. Prof. García Pont has had extensive experience with both local and multinational organizations in his consulting activities.

Professor's Biography

Jeroen Neckebrouck



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Jeroen Neckebrouck is Associate Professor in the Entrepreneurship Department. He is specialized in the areas of entrepreneurship, family business and governance. His work focuses on questions such as how boards can contribute to the decision-making of entrepreneurs, how family firms and professional investors can successfully deal with each other, and how governance can help entrepreneurial ventures develop and retain skilled employees.

He has published on these topics in top-tier academic journals such as the *Academy of Management Journal*, the *Strategic Management Journal*, the *Strategic Entrepreneurship Journal*, the *Academy of Management Perspectives* and *Venture Capital*, and in leading managerial publications such as *Forbes Magazine* as well as in the World Economic Forum. His research has also received prestigious awards from the *Family Firm Institute* and the *BVA Private Equity and Venture Capital Association* for its impact on business practice.

Associate Professor Neckebrouck is an editorial board member of the *Strategic Entrepreneurship Journal*.

Before pursuing his Ph.D., he was a management consultant in the telecom industry and co-launched a platform to promote entrepreneurial acquisitions.

Areas of Interest

- * Entrepreneurial Mindset and Leadership
- * Identifying and Developing Entrepreneurial Opportunities
- * Governance of Entrepreneurial Ventures
- * Venture Capital and Private Equity

Learning Outcomes

These are the Learning Outcomes:

- Understand the international economic and social environment to assess opportunities and risks for business development in other countries. (OP01)
- Know the key elements of business sustainability and learn how to implement it within companies. (OP02)
- Interact as a company executive with primary internal and external stakeholders. (OP03)
- Evaluate corporate stocks and bonds and make investment decisions based on market prices. (OP04)
- Develop long-term investment strategies with sustainability criteria in financial markets across different asset classes. (OP05)
- Explore funding sources for new businesses, such as crowdfunding, business angels, venture capital, and alternative stock markets. (OP06)
- Develop sustainable growth strategies through mergers and acquisitions. (OP07)
- Apply technological innovation and new digital infrastructures to business models. (OP08)
- Build and manage interactive data systems, model and analyze information for decision-making purposes. (OP09)
- Assess new businesses in their early stages for initial rounds of financing. (OP10)
- Understand the corporate financing process focused on a variety of operations (startup creation, growth investments, and acquisitions) from both the entrepreneur's and investor's perspectives. (OP11)
- Conceptualize, design, analyze, and apply new business models. (OP12)
- Critically evaluate relevant information for improved decision-making. (R01)
- Integrate economic efficiency, ethical criteria of respect for human dignity, and planetary sustainability in decision-making. (R10)
- Lead diverse teams by optimizing resources and inspiring trust, which translates into commitment and autonomy for the rest of the team. (R11)
- Analyze the impact of business decisions from a general management perspective, operating within a global competitive context. (R22)
- Apply an entrepreneurial mindset, with a creative and open attitude, driving necessary changes with energy and personal responsibility. (R23)

Formative Activities

Time distribution for each formative activity:

Description	Hours
Sessions with the professor (AF1)	37h
Individual student work (AF2)	39h
Teamwork (AF3)	17h
Assessments & Exams (AF4)	7h

Sustainable Development Goals

This course encourages critical reflection on ethical and strategic decision-making, positioning sustainability as a central dimension of business leadership and management. It explores the social, environmental, and ethical implications of business choices, integrates sustainability principles in the discipline, and fosters systems thinking by highlighting the interdependence of social, ecological, and economic systems. Students are challenged to identify and assess key sustainability issues, developing a holistic and responsible perspective.

It addresses the following SDGs:

- SDG1. No poverty
- SDG2. Zero hunger
- SDG3. Good Health and well-being
- SDG4. Quality education
- SDG5. Gender equality
- SDG6. Clean water and sanitation
- SDG7. Affordable and clean energy
- SDG8. Decent work and economic growth
- SDG9. Industry, innovation and infrastructure
- SDG10. Reduced inequalities
- SDG11. Sustainable cities and communities
- SDG12. Responsible consumption and production
- SDG13. Climate action
- SDG14. Life below water
- SDG15. Life on land
- SDG16. Peace, justice and strong institutions
- SDG17. Partnerships for the goals